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Going with the grain of the price system

The great economist Paul Samuelson narrated a fable about agriculture that is quite revealing. Suppose there is a bumper harvest and the price crashes.

If farmers make decisions based on previous years' price, this will result in reduced sowing and reduced expenditures on agricultural inputs. Now the harvest will be reduced and prices will go up.

In the next season, if farmers make decisions based on previous years' price, this will lead to increased sowing, and then the cycle goes on and on.

This 'cobweb model', a story of prices and incentives and behaviour, is an example of the intimate connection between prices and public policy problems. Economics has a great deal of understanding of the price system, and this offers four valuable rules in the field of public policy:

1. Supply and demand make the price,
2. Demand curves slope downward and supply curves slope upward,
3. There is a law of one price,
4. The policymaker should have no opinion on the price, and no tools to directly control it.

Supply and demand make the price

If there is a lot of demand, and not enough supply, prices will go up. If there is a lot of supply, and not enough demand, prices will go down.